

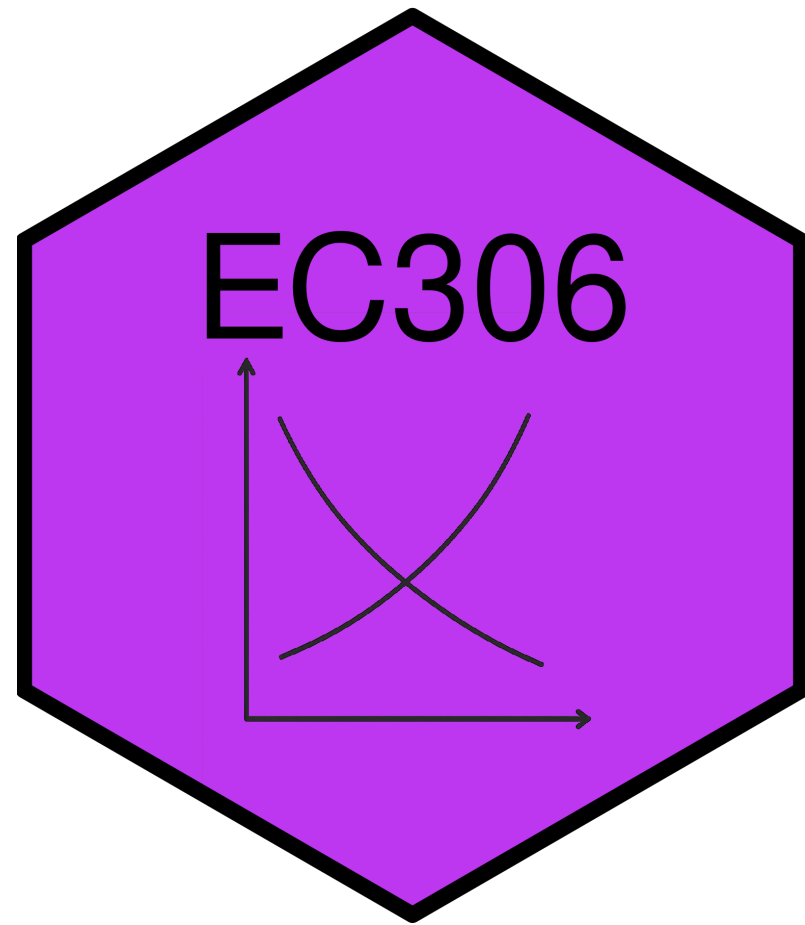
Discrimination and Male-Female Earnings Differentials

EC306- Wages and Employment

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Goals of This Section

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Today we will:

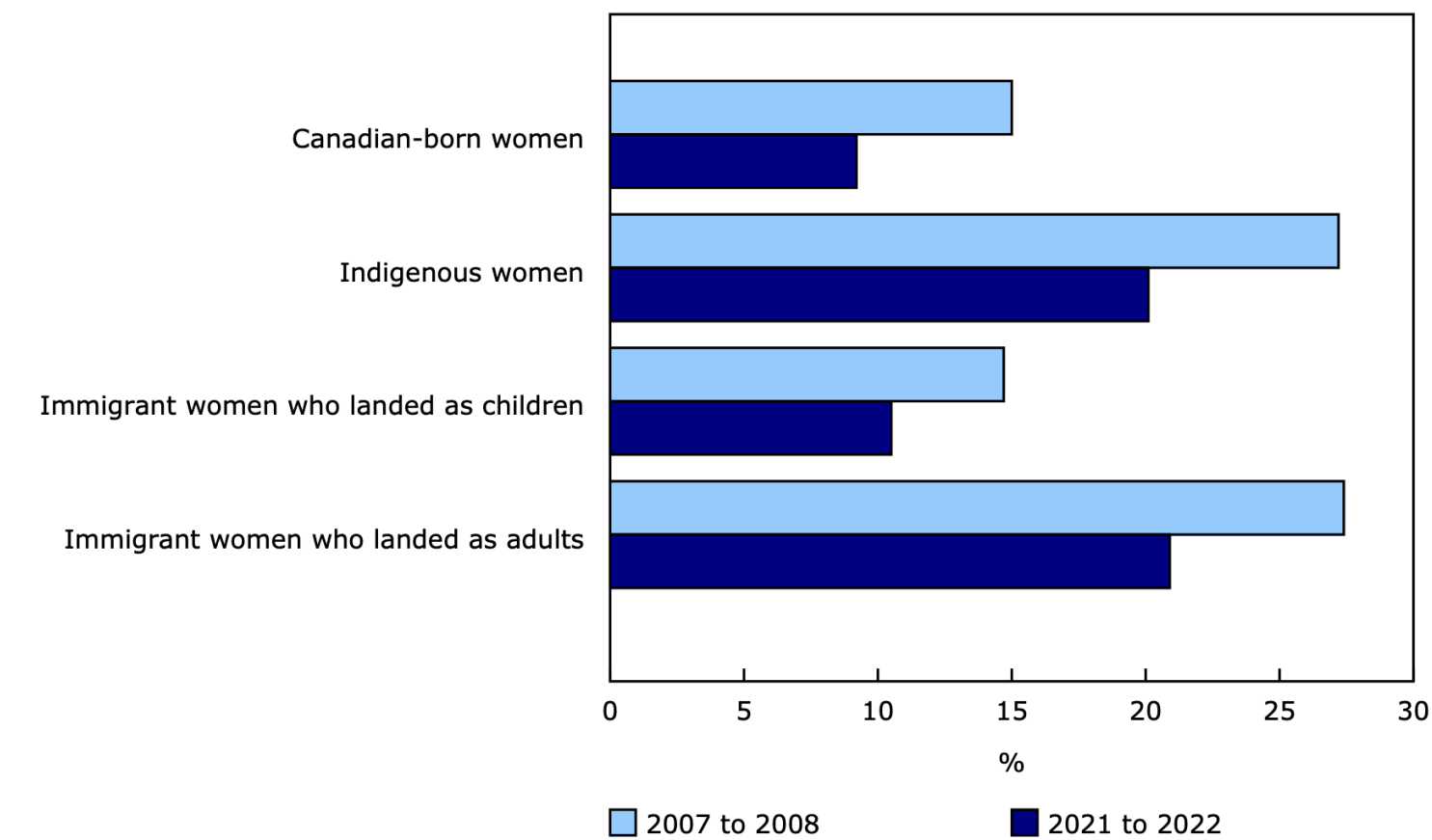
- Discuss trends in male-female earnings differentials in Canada
- Introduce taste-based and statistical discrimination theories
- Explain supply-side and non-competitive theories of discrimination
- Learn the Oaxaca-Blinder decomposition to measure discrimination
- Review policies to address gender discrimination

Introduction

Male and Female Earnings

Male and Female Earnings

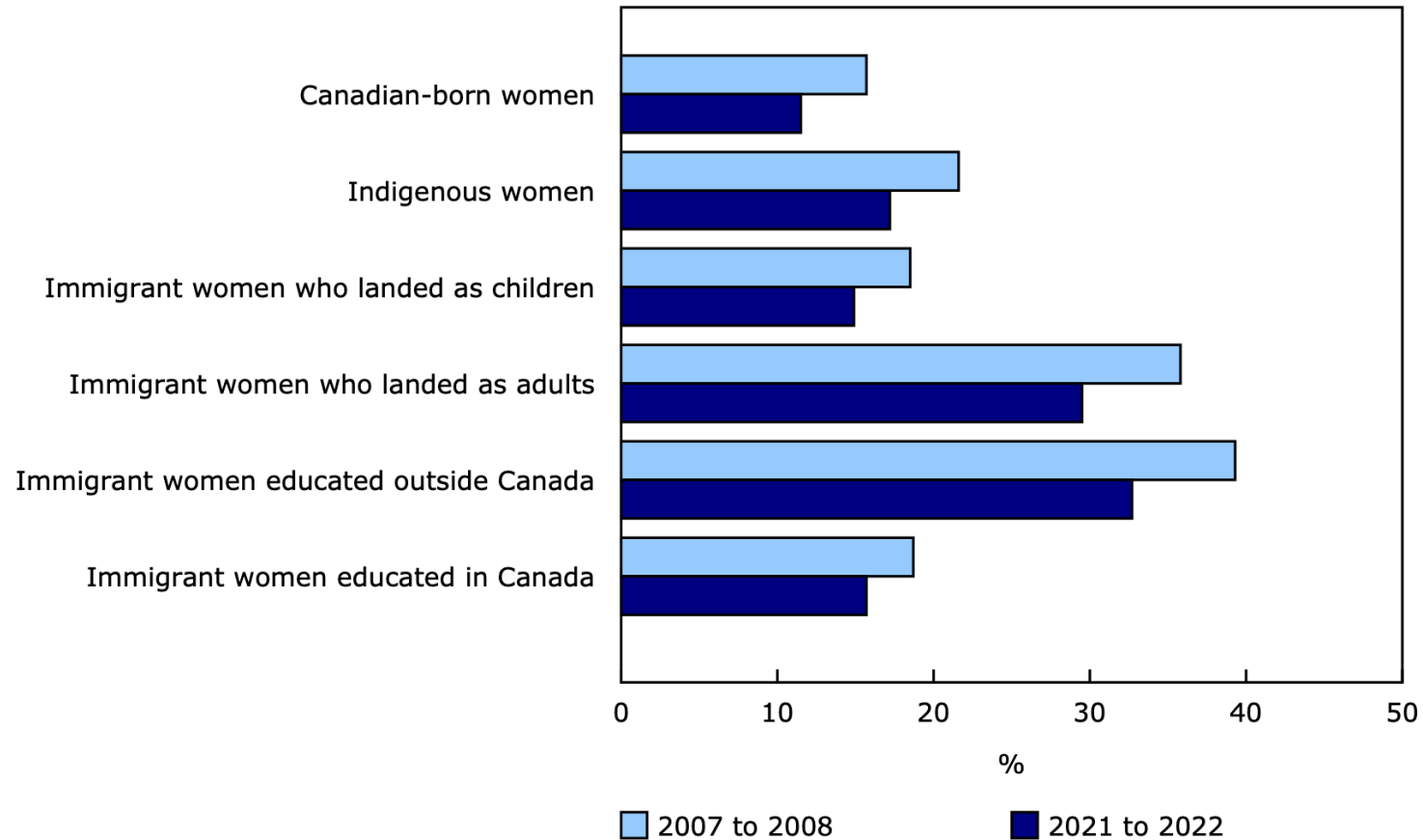
Gap in average hourly wage relative to Canadian-born men, by group of women, 2007 to 2008 and 2021 to 2022



Note(s): "Canadian-born" refers to non-Indigenous workers born in Canada.
Source(s): Labour Force Survey (3701), March and September monthly files, 2007, 2008, 2021, and 2022.

Male and Female Earnings

Gap in average hourly wage relative to Canadian-born men among workers holding a bachelor's degree or higher, 2007 to 2008 and 2021 to 2022



Note(s): "Canadian-born" refers to non-Indigenous workers born in Canada.

Source(s): Labour Force Survey ([3701](#)), March and September monthly files, 2007, 2008, 2021, and 2022.

Male and Female Earnings

- Clearly men and women earn different amounts on average
- There are **two broad explanations** for this gap:
 1. Differences in characteristics (education, experience, occupation, industry, hours worked, etc.)
 2. **Differences in returns to those characteristics** (discrimination)
- Our models so far have not left room for discrimination
 - We treated all workers as the same
 - So there should not be any differences in returns

Male and Female Earnings

In this section, we explore [economic theories of discrimination](#):

- Can come from employers, customers, co-workers
- Can be statistical or taste-based

Estimating discrimination empirically is difficult:

- Need to control for all relevant characteristics
- Need to separate differences in characteristics from differences in returns

Male and Female Earnings

Methods that can help:

- Oaxaca-Blinder decomposition
- Audit studies
- Field experiments

Demand Theories of Discrimination

Demand-Side Theories

Demand-side theories focus on the behaviour of employers in demanding labour.

Discrimination can happen for various reasons:

- Pure prejudice against female workers
- Customer preference to buy from male workers
- Male workers' aversion to working with women

Warning

These all cause a fall in the **demand for women** relative to men in the labour market — reducing wages and employment of female workers

Taste-Based Discrimination

! Becker (1957)

Taste-based discrimination: employers have a “taste” for discrimination — they behave as if hiring women is more costly than it actually is

- Firms produce according to: $y = f(N_m + N_w)$
- In a competitive market, profits are:

$$\pi = p \cdot f(N_m + N_w) - w_m N_m - w_w N_w$$

- Firms do not maximize profit strictly, but instead maximize:

$$U = \pi - d \cdot N_w$$

- d measures the **degree of discrimination**
- If $d = 0$: no discrimination; if $d > 0$: firms get disutility from hiring women

Taste-Based Discrimination

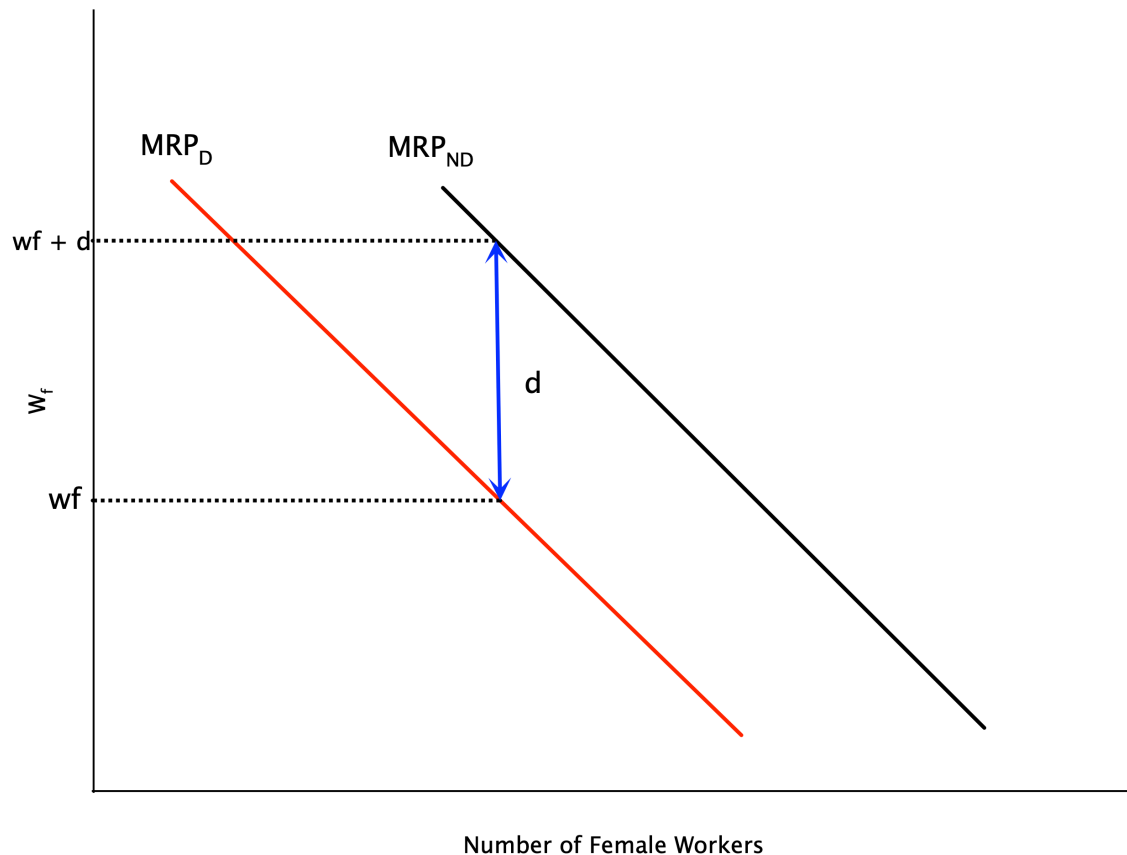
The first order conditions for utility maximization are:

$$p \cdot MP_{N_m} = w_m$$

$$p \cdot MP_{N_w} = w_w + d$$

- For both men and women, firms hire up to where VMP equals the **effective cost** of hiring
- But for women, there is an **additional cost d** due to discrimination
- If $w_m = w_f$ and men and women are equally productive, this implies firms hire **fewer women**
 - Discrimination drives a wedge between wages and the MRP

Taste-Based Discrimination

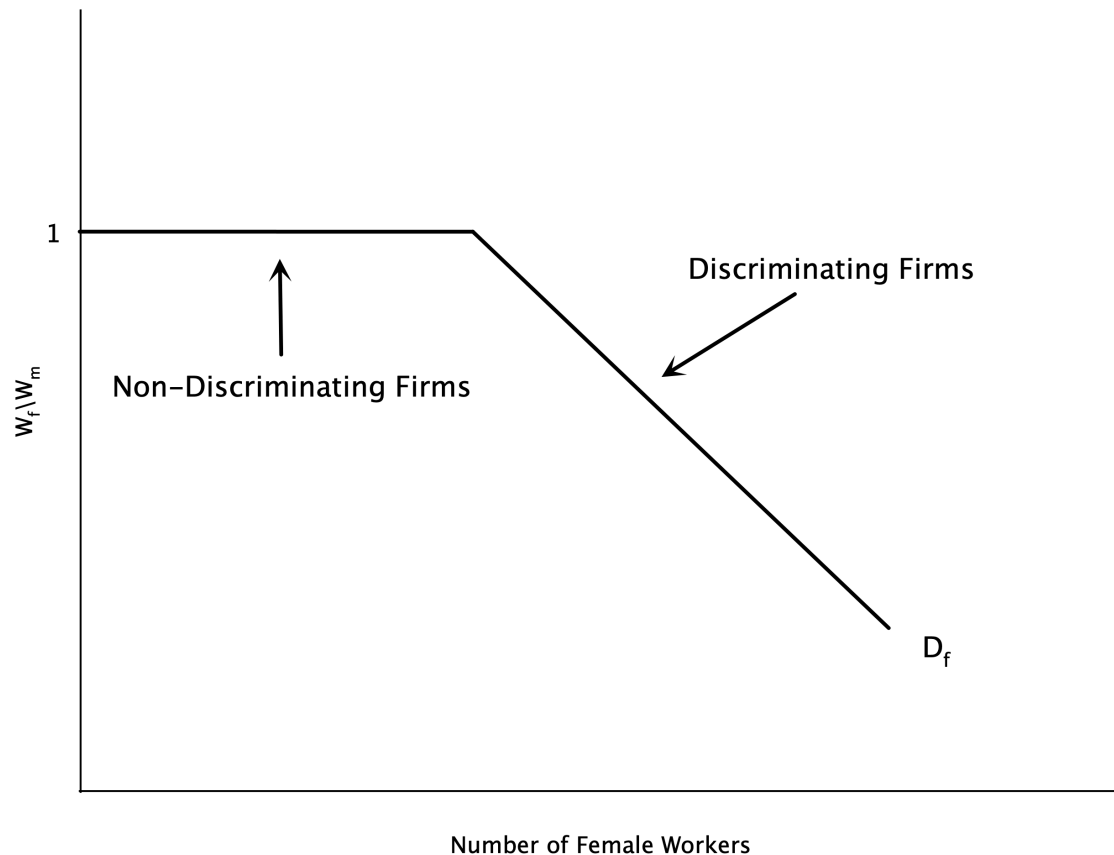


- Graph plots labour demand for women
- Discrimination shifts demand curve left
- Without discrimination: firm hires where $w_f = MRP_{ND}$
- With discrimination: firm hires where $w_f + d = MRP_D$
 - Or equivalently $w_f = MRP_D - d$
- Implies a lower level of female labour

Taste-Based Discrimination

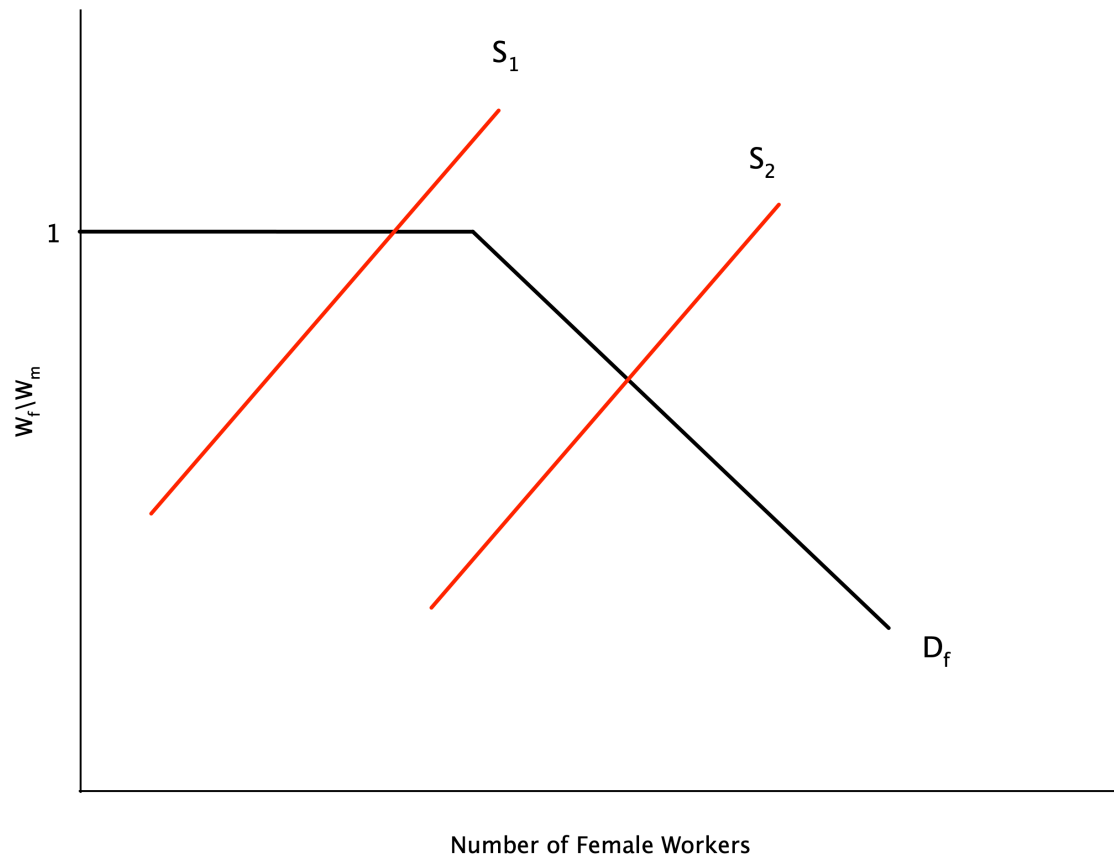
- Above analysis is for a single employer
- Employers discriminate along a spectrum — some have a high d , some have a low or no d
- Suppose women are able to seek out the **non-discriminating employers**
- If we order firms from lowest to highest by the amount of discrimination:
 - We can get the market demand curve by summing individual demand curves horizontally
- This demand curve is plotted on the next slide

Taste-Based Discrimination



- Vertical axis is the ratio of female to male wages
- For **non-discriminating firms**, this ratio is 1
 - A certain set of firms will hire women at this ratio (flat portion of demand curve)
- As the supply of women grows, they must work at **more discriminating firms**
 - These firms will only hire when the wage ratio falls

Taste-Based Discrimination



- If the supply of female labour is **small enough**, they can work at non-discriminating firms
 - Wage ratio is 1
- With a **larger supply**, some will have to work at discriminating firms
 - Wage ratio falls below 1
 - This is where the demand curve slopes downwards
 - **Wage gap emerges**

Statistical Discrimination

! Statistical Discrimination

Statistical discrimination: firms use group characteristics to infer individual productivity

- Arises because of **imperfect information** — employers do not know individual worker productivity perfectly
 - Instead they use signals to infer worker quality
 - If one group has lower average productivity (or a noisier signal), firms may pay them less on average
-
- Contrast with taste-based discrimination, which relies on employers having overt prejudice

Statistical Discrimination

Theory

Assume that the abilities of male and female workers are distributed with means $\bar{a}_m$ and $\bar{a}_f$. The firm has access to a signal of ability x for each person. Expected ability is:

$$a(x) = \bar{a} + \alpha(x - \bar{a})$$

Where α is the [reliability of the signal](#):

- If $\alpha = 0$: the signal provides no information beyond the average
- If $\alpha = 1$: the signal is perfectly informative

Workers are paid a wage equal to their marginal revenue product

Statistical Discrimination

Paying workers their marginal revenue product implies:

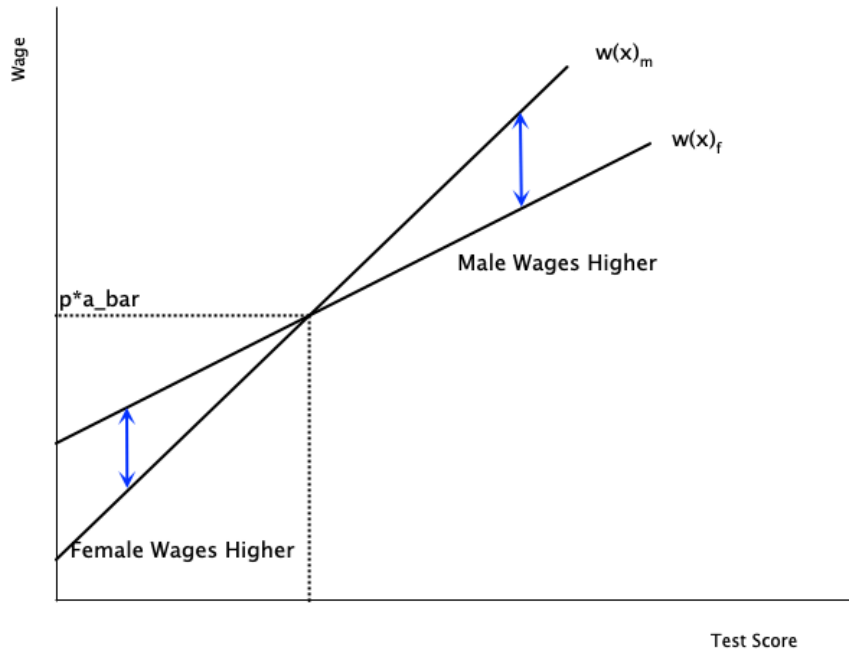
$$w(x) = pa(x) = p\bar{a} + p\alpha(x - \bar{a})$$

Assume $\bar{a}_m = \bar{a}_f$ (men and women are equally productive on average), but the signal is **more reliable for men**: $\alpha_m > \alpha_f$

Differences arise between workers who score the same on the signal:

- If a man and woman score above average ($x - \bar{a} > 0$), then **men are paid more**
- If a man and woman score below average ($x - \bar{a} < 0$), then **women are paid more**

Statistical Discrimination



- Male line is steeper because the signal is more reliable ($\alpha_m > \alpha_f$)
- For test scores above average: men are paid more
- For test scores below average: women are paid more
- At the average: they are paid the same

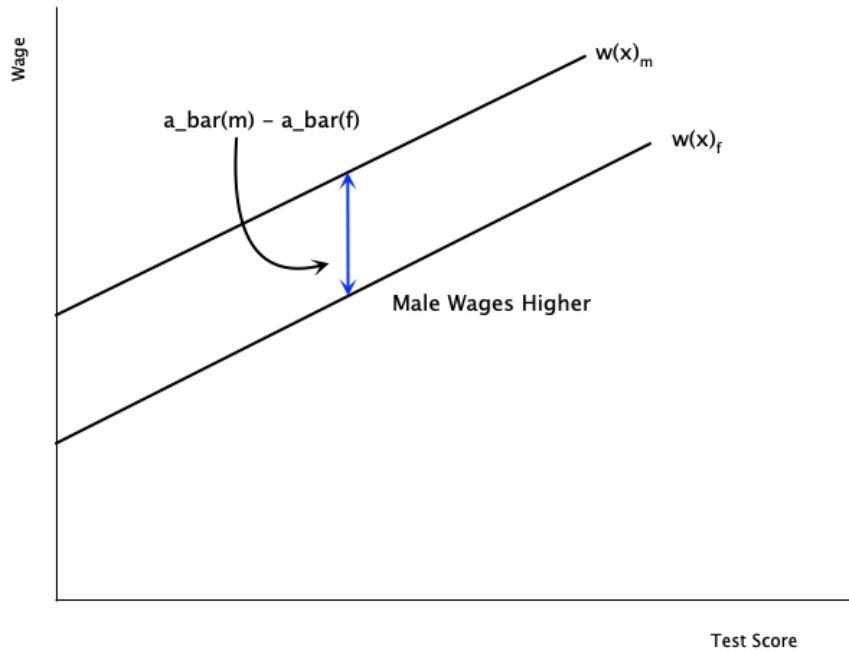
Statistical Discrimination

- There are no underlying differences between males and females
 - Differences in wages arise because of **differences in the quality of the signal**
 - Firms place more weight on average ability for female workers
 - Firms place more weight on the actual signal for male workers
- But where does the assumption $\alpha_m > \alpha_f$ come from?
 - Possibly related to prejudicial attitudes of firms
 - Some believe standardized tests favour males

Statistical Discrimination

- There may also be differences in $\bar{a}_m$ and $\bar{a}_f$
 - Possibly due to **pre-market discrimination** leading to lower human capital among women
- In this case, males are paid more at **every signal level**
- Wage differences do not necessarily arise from overt discrimination
 - They may originate in differences in information signals or average productivity
 - But it is difficult to explain why such differences in signal quality exist

Statistical Discrimination



- In this graph the quality of the signal is the same (equal slopes)
- But there are **differences in average productivity**
 - Male line lies above female line
- Men will be paid more because of the average difference

Supply Theories of Discrimination

Supply-Side Theories

- We discussed demand-side theories — focused on employer behaviour
- Discrimination may also arise on the labour supply side
 - Factors that affect where women choose or are able to work

Crowding Hypothesis

Crowding Hypothesis

Women are **overrepresented in certain occupations**, pushing up their labour supply in those occupations — which **depresses wages** relative to men

- Women are paid their marginal product
- But are corralled into a small set of jobs, which depresses wages

Dual Labour Market Theory

! Dual Labour Market Theory

There are two distinct labour markets:

- **Primary market:** high wages, good working conditions, opportunities for advancement; unionized, stable, expanding
- **Secondary market:** low wages, poor working conditions, little opportunity for advancement; non-unionized, highly competitive, declining

Theory posits that women are concentrated in the secondary market — prejudice prevents women from entering the primary market

Lower Reservation Wages

Theory: female reservation wages are lower because:

- Costly to search for non-discriminating employers
- Job search is limited by strong household ties
- Ability to negotiate higher pay limited by lower threat of leaving

Note

With a lower reservation wage, women are more likely to be paid less — contributing to the pay gap

Some empirical evidence supports this

Risk Aversion

- Large literature documenting that women are less aggressive/competitive in bargaining
 - Also less confident in their abilities
 - Evidence of this in many studies in economics and psychology
- Might mean women are less likely to compete for higher paying jobs

Differences in Preferences

May be differences in preferences for education, training, hours, work conditions, occupation — all of these are correlated with pay

The Endogeneity Problem

These choices are sometimes a product of discrimination — so it is **hard to separate preferences from discrimination effects**

Example: STEM fields pay well, but are male dominated — history of discrimination in this field may lead women not to choose it

Non-Competitive Theories of Discrimination

Non-Competitive Theories

- One issue with the above theories: they assume competitive markets
- Men and women are assumed to have equal productivity
- Discriminating firms hire fewer women because of prejudice
- But non-discriminating firms can hire more women at lower wages
 - Would **increase their profits**
 - Non-discriminating firms would bid up wages of women
 - Should **close the gap**

Non-Competitive Theories

Why Does the Gap Persist?

Non-competitive theories explain persistent wage gaps when markets are not perfectly competitive — due to monopsony power, imperfect information, search frictions, etc.

Imperfect Information

- Even if firms know they can increase profits by hiring more women, they might not be able to immediately change their workforce
 - Hiring and recruiting are **costly** — search frictions, quasi-fixed costs
- Firms may be slow to adjust to profit opportunities
- This can lead to **persistent wage gaps**
 - But does not explain why the gaps have persisted for so long

Queueing Theory

- Some firms pay **efficiency wages**
 - Wages above the market clearing level to increase productivity
- This results in a **queue of workers** wanting to work at the firm
- While rationing jobs, firms may discriminate

Political Pressure

- Sometimes market decisions are overridden by political pressures
- A male-centric government or union may:
 - Hire more men in government jobs
 - Be discriminatory with education and training
- The political pressure could come from [interest groups](#)
 - May have significant resources to lobby the government

Monopsony Power

- Monopsony gives firms power to **set wages below competitive levels**
- Monopsonies may take advantage of the **relative immobility of women** to lower their wages
 - Recall women may have stronger ties to household
- They may also try to pit men and women against each other
 - Create competition between the groups to lower wages

Systemic Discrimination

Systemic Discrimination

Discrimination is embedded in social and economic systems — has been going on for so long that it is now **self-perpetuating**

Could come from:

- Existence of “old boys” mentality
- Old job requirements that implicitly discriminate but continue to exist

Productivity Differences

Productivity Differences

- It may be the case that men and women have **productivity differences**
 - This could determine pay differences even in competitive markets
- Note: not *innate* productivity differences
- Differences coming from **acquisition of human capital** over time:
 - Education
 - Training
 - Work experience
- If human capital investments are a choice, then pay differences are **not discrimination**
- But it could be that choices are **influenced by discrimination**

Dual Role

- Traditionally women have more of a **dual role** than men — balancing household and market work
- If this continues to be true, then women:
 - Have less continuity in work (mainly from interruptions for children)
 - Are more likely to have periods of paid work and labour force withdrawals
- This leads to **lower accumulation of human capital**
 - Because there is less time to recoup the costs
- In some sense this is a rational choice — but is rooted in a society that does not accommodate enough for working mothers

Pre-Market Discrimination

Pre-Market Discrimination

Pre-market discrimination: discrimination that influences choices before workers even enter the labour market

- Education
- Training
- Career path

What looks like a rational choice is itself affected by discrimination

Example: STEM jobs pay well but are male dominated — women are discouraged from entering these fields, and thus do not have access to the higher pay that comes with them

Measuring Discrimination

Introduction

- Now that we have discussed theories of discrimination, how do we **measure it**?
- Difficult because in most cases discrimination is **not directly observable**
 - There is no “discrimination” variable in datasets
- Can design experiments to measure discrimination:
 - **Audit studies**
 - **Field experiments**
- But in most cases we have to rely on observational data

Introduction

- Measuring discrimination involves comparing people of **equal productivity**
 - So that any leftover wage differences could be due to discrimination
- But we do not observe productivity directly
- Instead, hold constant variables related to productivity:
 - Education
 - Experience
 - Occupation
 - Industry
 - Hours worked
- Then **decompose the wage difference** into part due to characteristics and part due to other factors

Blinder-Oaxaca Decomposition

! Blinder-Oaxaca Decomposition

Method to decompose differences in average earnings between two groups into:

- Explained part: due to differences in characteristics (endowments)
- **Unexplained part:** due to differences in returns to those characteristics (potentially discrimination)

Suppose we estimate a regression of log earnings on observed characteristics for men and women:

$$\ln(Y_m) = \hat{\beta}_m \bar{X}_m$$

$$\ln(Y_f) = \hat{\beta}_f \bar{X}_f$$

Blinder-Oaxaca Decomposition

The difference in average log earnings is:

$$\ln(Y_m) - \ln(Y_f) = \hat{\beta}_m \bar{X}_m - \hat{\beta}_f \bar{X}_f$$

Add and subtract $\hat{\beta}_m \bar{X}_f$:

$$\ln(Y_m) - \ln(Y_f) = \underbrace{\hat{\beta}_m (\bar{X}_m - \bar{X}_f)}_{\text{explained}} + \underbrace{\bar{X}_f (\hat{\beta}_m - \hat{\beta}_f)}_{\text{unexplained}}$$

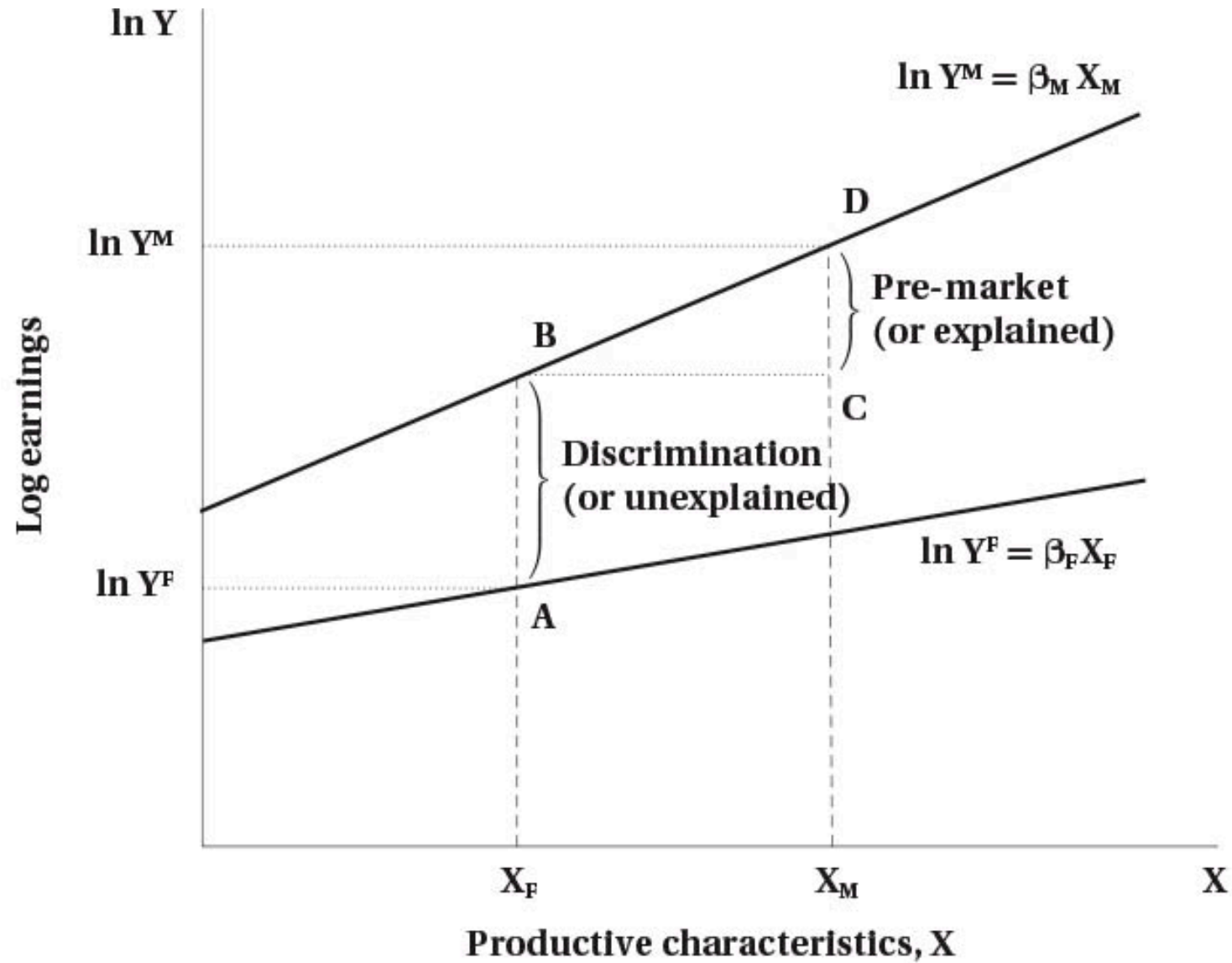
- Explained: holds slope constant at $\hat{\beta}_m$, looks at differences in average X
- **Unexplained**: holds average characteristics constant at $\bar{X}_f$, looks at differences in slopes (returns)

Blinder-Oaxaca Decomposition

Warning

Traditionally, the **unexplained part is interpreted as discrimination** — but could also be due to unobserved productivity differences

Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition

Suppose we have run the following regression separately for men and women:

$$\ln Y = \beta_0 + \beta_1 \text{Educ} + \beta_2 \text{Experience}$$

Estimated coefficients:

- **Men:** $\beta^M = (2.0, 0.10, 0.02)$
- **Women:** $\beta^F = (1.8, 0.08, 0.015)$

Blinder-Oaxaca Decomposition

Mean observed characteristics:

- **Men:** $E\bar{\text{educ}}_M = 14, E\bar{\text{exp}}_M = 15$
- **Women:** $E\bar{\text{educ}}_F = 13, E\bar{\text{exp}}_F = 12$

Average predicted log wage for men:

$$\ln \bar{Y}_M = 2.0 + 0.10 \cdot 14 + 0.02 \cdot 15 = 2.0 + 1.4 + 0.3 = 3.7$$

Blinder-Oaxaca Decomposition

Average predicted log wage for women:

$$\ln \bar{Y}_F = 1.8 + 0.08 \cdot 13 + 0.015 \cdot 12 = 1.8 + 1.04 + 0.18 = 3.02$$

The wage gap is therefore:

$$\ln \bar{Y}_M - \ln \bar{Y}_F = 3.70 - 3.02 = 0.68$$

This says that the wage gap is about **0.68 log points — roughly 68% higher wages for men**

Blinder-Oaxaca Decomposition

We decompose: $\ln \bar{Y}_M - \ln \bar{Y}_F = \text{Explained} + \text{Unexplained}$

Explained (due to characteristics):

$$\text{Explained} = (\bar{X}_M - \bar{X}_F) \beta^M$$

Differences in means: Education: $14 - 13 = 1$, Experience: $15 - 12 = 3$

$$\text{Explained} = 1 \cdot 0.10 + 3 \cdot 0.02 = 0.10 + 0.06 = 0.16$$

About 0.16 log points of the gap are due to men having more education and experience.

Blinder-Oaxaca Decomposition

Unexplained (returns to characteristics):

$$\text{Unexplained (slopes)} = \bar{X}_F (\beta_M - \beta_F)$$

Coefficient differences: Education: $0.10 - 0.08 = 0.02$, Experience: $0.02 - 0.015 = 0.005$

$$\text{Unexplained (slopes)} = 13 \cdot 0.02 + 12 \cdot 0.005 = 0.26 + 0.06 = 0.32$$

Intercept difference: $\beta_{0M} - \beta_{0F} = 2.0 - 1.8 = 0.20$

Total unexplained: $0.32 + 0.20 = 0.52$

Blinder-Oaxaca Decomposition

Final Decomposition

$$0.68 = \underbrace{0.16}_{\text{explained (24\%)}} + \underbrace{0.52}_{\text{unexplained (76\%)}}$$

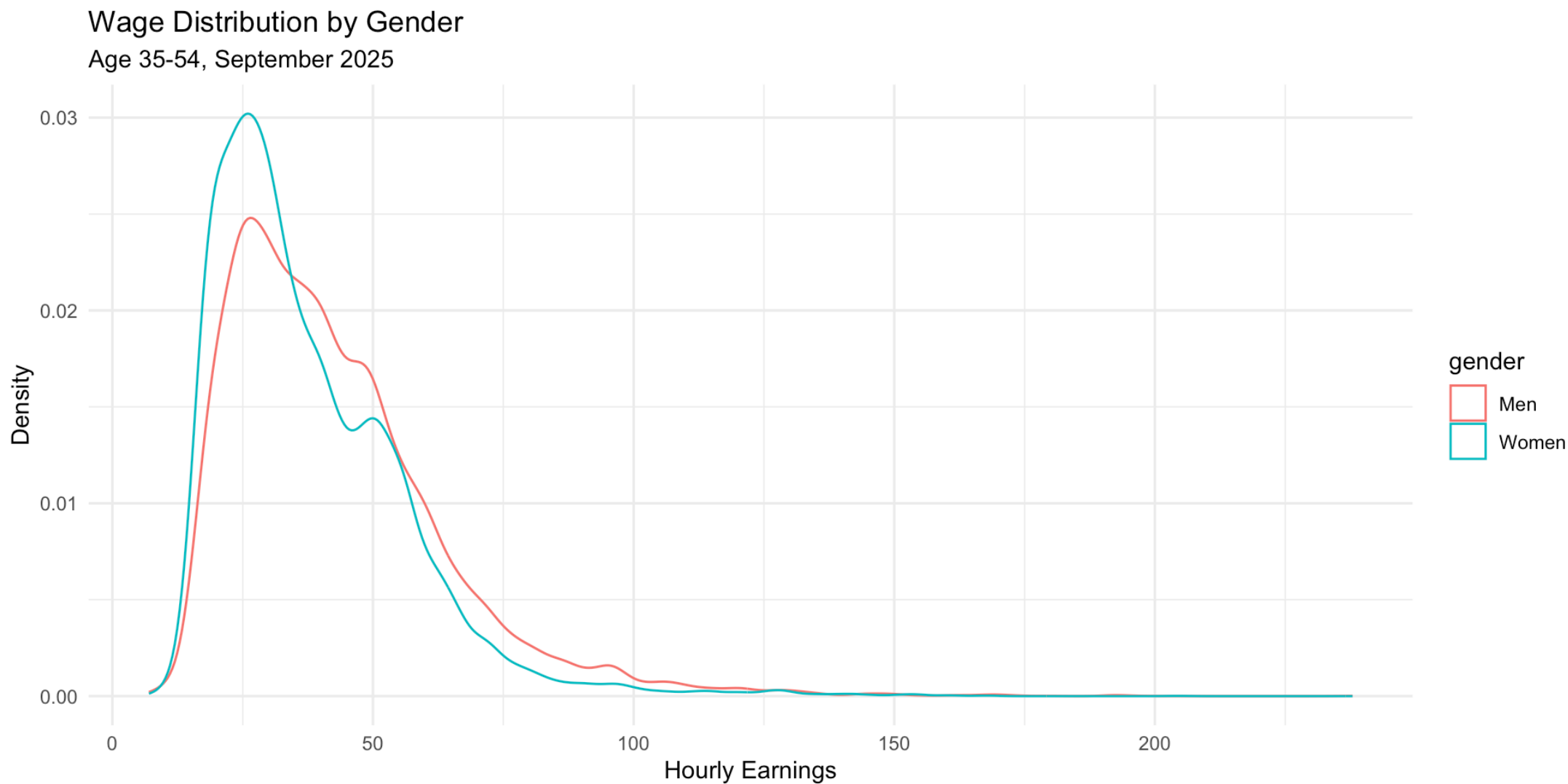
- Explained (0.16, ~24%): due to men having higher average education and experience
- **Unexplained (0.52, ~76%):** due to different returns to characteristics and intercept differences

Blinder-Oaxaca Decomposition

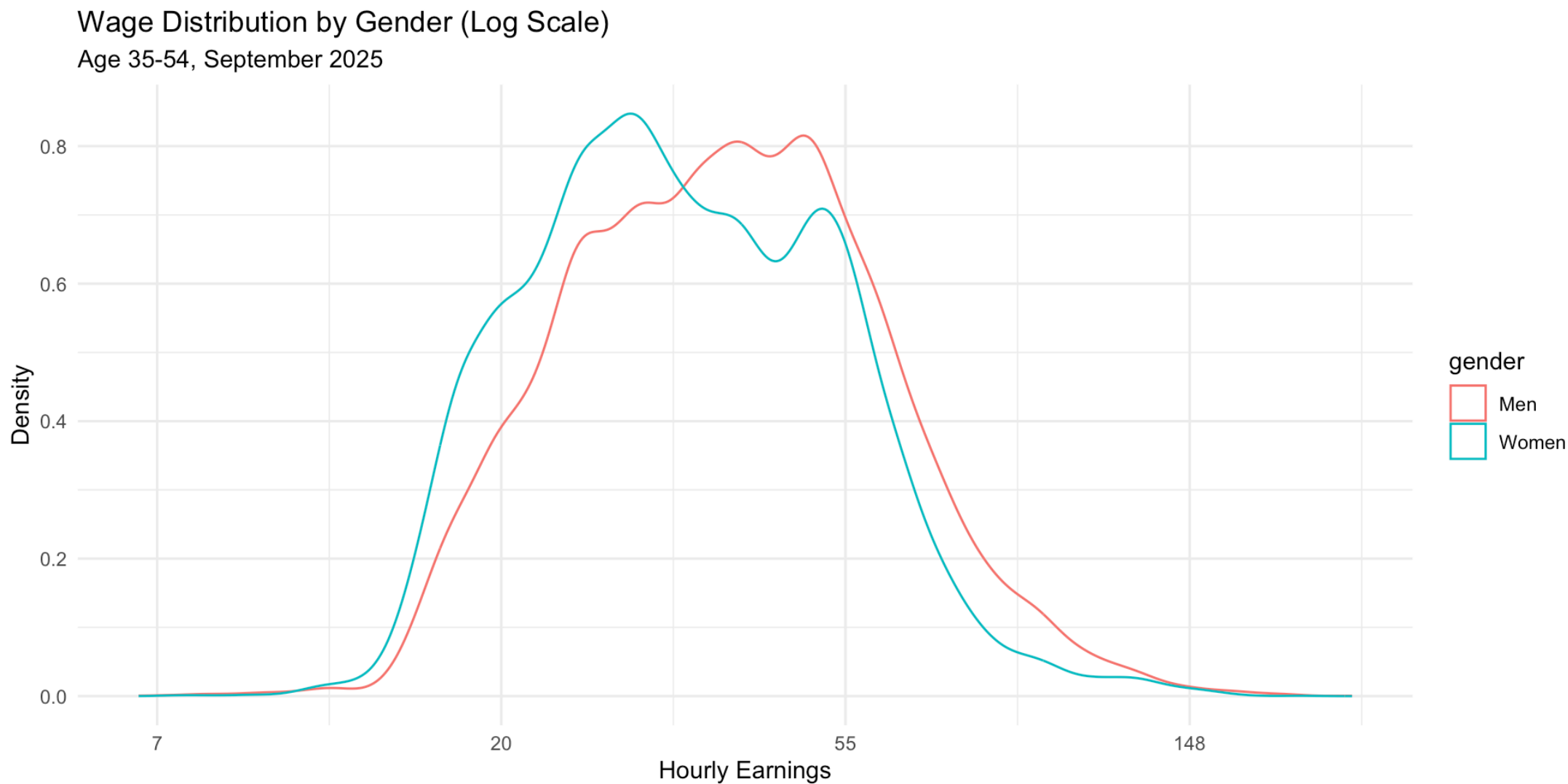
Here is an example using real data from Canada:

- Labour Force Survey from September 2025
- Restricted to people aged 35–54 with wages > 0
- First examine summary statistics, then run a regular regression, then the decomposition

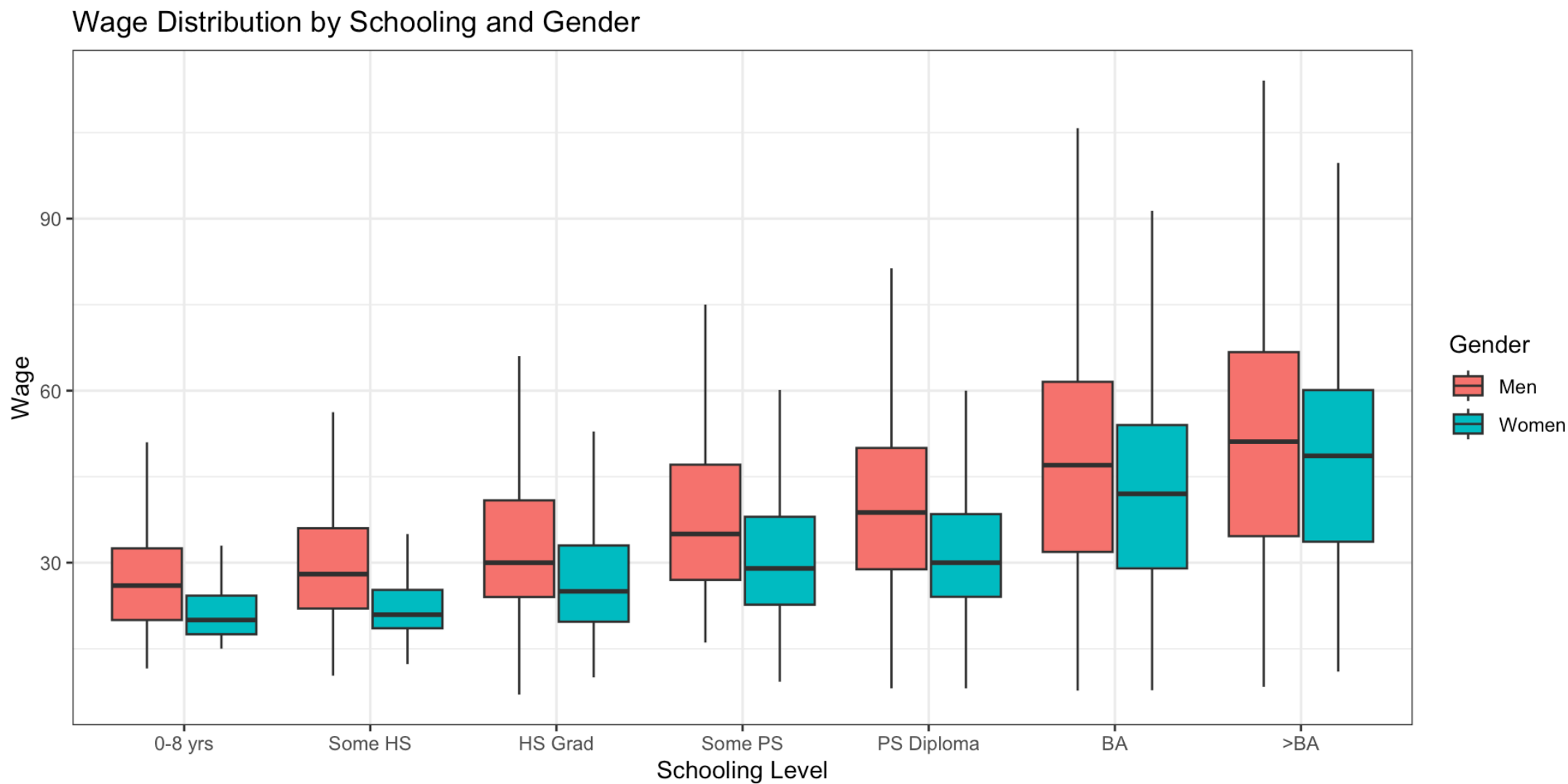
Blinder-Oaxaca Decomposition



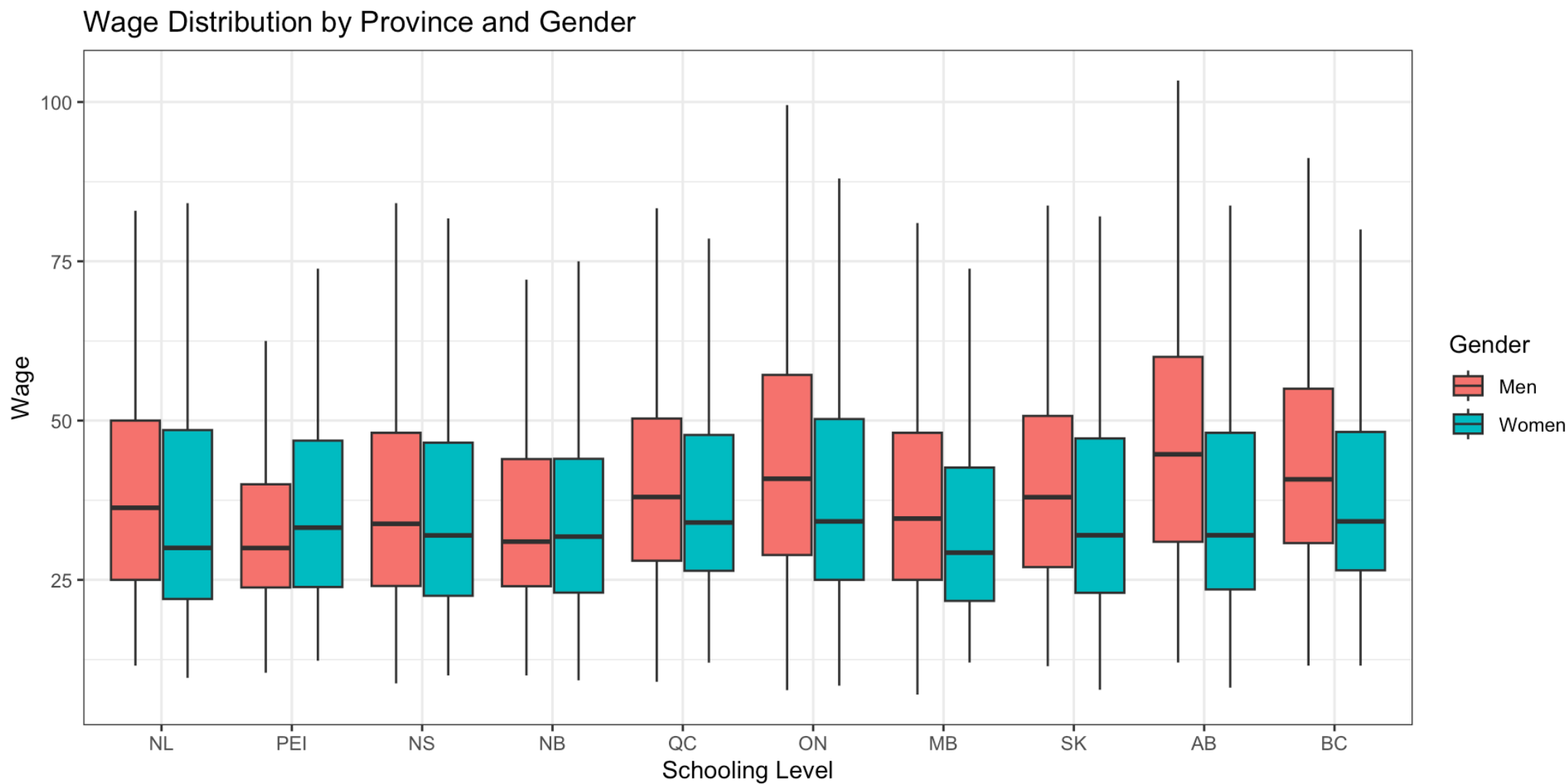
Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition

	Wage	Log Wage	Log Wage (with Controls)
Women	-5.032	-0.122	-0.174
	(0.247)	(0.006)	(0.005)
Num.Obs.	25233	25233	25233
R2	0.016	0.018	0.227
R2 Adj.	0.016	0.018	0.226
AIC	221896.5	212082.5	206091.9
BIC	221920.9	212106.9	206335.9
Log.Lik.	-110945.268	-15494.659	-12472.344
F	413.611	466.878	264.816
RMSE	19.65	0.45	0.40

Blinder-Oaxaca Decomposition

Component	Estimate
Overall Difference	0.122
Explained (Endowments)	-0.051
Unexplained (Coefficients)	0.173

Collider Bias

- Sometimes researchers control for variables in a regression to adjust the wage gap
 - What is the gap if we hold constant age, education, experience, occupation, industry, hours worked, etc.?
- The idea is to compare people who are the same on all relevant characteristics

Collider Bias

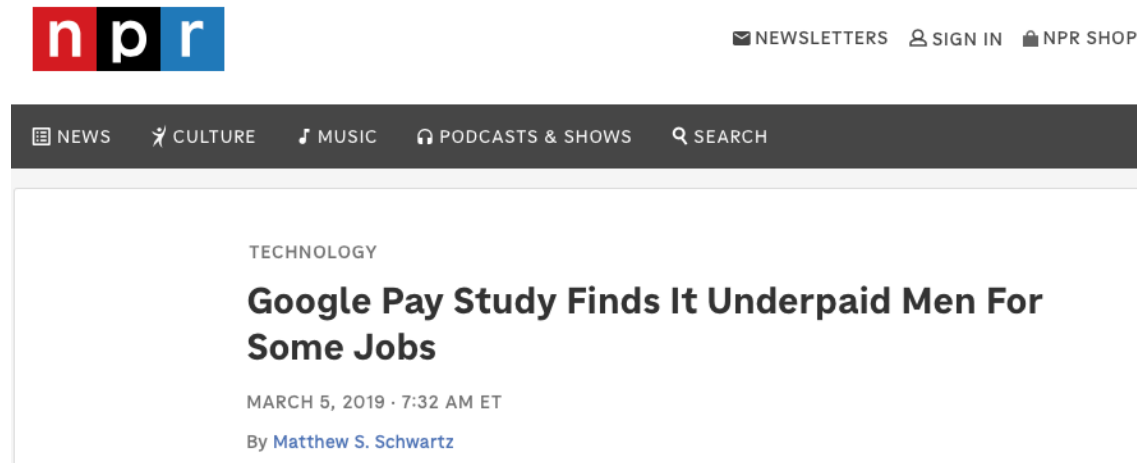
Collider bias: controlling for certain variables (like occupation) can actually **create bias** in discrimination estimates if those variables are themselves outcomes of discrimination

Collider Bias

Example — the tech industry:

- Men and women have equal ability in the general population
- Women face discrimination in tech, so to get the job they must have **very high ability**
- Men can enter even with moderate ability
- If you look at the wage gap in tech jobs, it might appear to **favour women**
 - In the same occupation, women will have higher ability because they had to overcome discrimination
 - Comparing men and women within occupation **creates** ability bias

Collider Bias



This happened at [Google](#):

- There was a complaint that women were being underpaid
- An analysis found that **men** were underpaid
- A perfect example of collider bias
 - They looked within jobs
 - Women of very high ability were selected into those jobs
 - Their wages were higher because of that

Collider Bias

How to avoid collider bias:

Best Practice

Do not add variables that are outcomes of discrimination to the regression

- **Occupation** is often an outcome of discrimination
- **Industry** may also be an outcome

Instead include only **predetermined characteristics**: things that are not affected by discrimination — mainly basic demographics, possibly education and experience

Additional Evidence on Gender Pay Gaps

Introduction

- Significant statistical work has been done on this issue
 - Why? Its importance and availability of data
- We will briefly review some of the evidence here, with a focus on Canadian studies

Evidence

Key findings:

- Women in Canada earn about **60% of what men earn** (unconditional gap)
- After controlling for characteristics, the gap shrinks to about 85%
- **Pay gap is smaller in the public sector** — pay practices are more egalitarian in government
- Gap has been **falling over time** — many factors could contribute
- Internationally, gaps are **smaller with stronger bargaining structures**
- Gap is **smaller the more competitive the industry**

Evidence

Additional findings:

- Occupational segregation does not explain a large part of the gap
 - Gap is explained more by *industry* than occupation
- Women face career penalties from family responsibilities
- Glass ceilings are an observed phenomenon
 - At the top end of the pay distribution, gaps are larger
 - Lots of international evidence of differences in career advancement
- Unions have a higher impact on women than men
 - Offset by the fact that women are less likely to be unionized

Evidence

- Mixed evidence on job-protected leave
 - Leave is good because it protects jobs for women
 - But might make employers less likely to hire women in the first place
 - Evidence shows it lowers wages for women in the U.S.
 - In Canada it increases job continuity
- Some evidence that gap grows with more work experience
 - Upon initial entry, gap is small
 - Grows over time

Other Groups

Introduction

- The same techniques used to analyze gender wage gaps can be used to estimate gaps for other groups
- This is usually done by [race or ethnicity](#)
 - U.S. studies have focused in particular on racial discrimination

Evidence for Other Groups

Indigenous peoples in Canada:

- About 85% of non-Indigenous wages off reserve
- Shrinks after controlling for characteristics

Ethnic-white wage gaps in Canada:

- Complicated by the fact that many non-white Canadians are also immigrants
- Immigration has its own independent effect on wages
- Controlling for this, gaps are very high — summarized on next slide

Evidence for Other Groups

TABLE 12.1

Ethnic Wage Differentials, Various Groups Born in Canada or United States

	Black	South Asian ^a	Southeast Asian ^b	Chinese	Aboriginal
Canada					
Total gap	0.293	0.536	-0.022	0.193	0.179
"Discrimination"	0.171	0.222	0.023	0.058	0.091
United States					
Total gap	0.328	0.176	-0.079	-0.205	0.304
"Discrimination"	0.123	0.055	-0.007	-0.047	0.136

NOTES: The total gap is the percentage by which the earnings of whites exceed those of the ethnic group, reflecting both the differences in their wage-determining characteristics and the differences in pay for the same characteristics. The latter is the differences in the regression coefficients from an Oaxaca-type decomposition as discussed in the text, and is labelled here as "Discrimination."

^a E.g., Bangladesh, India, Pakistan

^b E.g., Philippines, Korea, Vietnam

SOURCE: Baker and Benjamin (1997, Tables 5 and 11, specification 3 including industry and occupation controls). Adapted from "Ethnicity, Foreign Birth and Earnings: A Canada/U.S. Comparison," (Dwayne Benjamin with Michael Baker) in *Transition and Structural Change in the North American Labour Market*, Queen's University, Industrial Relations Centre and John Deutsch Institute, 1997. Used with permission.

Evidence for Other Groups

Evidence in the U.S.:

- Large literature on **Black-white wage gaps** — about 68% of white wages
 - Shrinks when controlling for past test scores (measure of pre-market productivity)
 - Pre-market discrimination also plays a large role
 - Large component of discrimination remains
- Gaps **favour Chinese and Southeast Asian workers** — not the same in Canada

Policies to Combat Gender Discrimination

Introduction

- Gender discrimination has been an issue for a long time
- Several policies are enacted to combat it:
 - Equal pay
 - Equal employment opportunity
 - Policies to facilitate female employment

Equal Pay

Pay equity: requires that jobs which are substantially similar receive equal pay

- Looks at very similar jobs; minor differences are allowed
- Issue: deals with similar jobs in similar establishments — does not address equity issues across jobs/industries

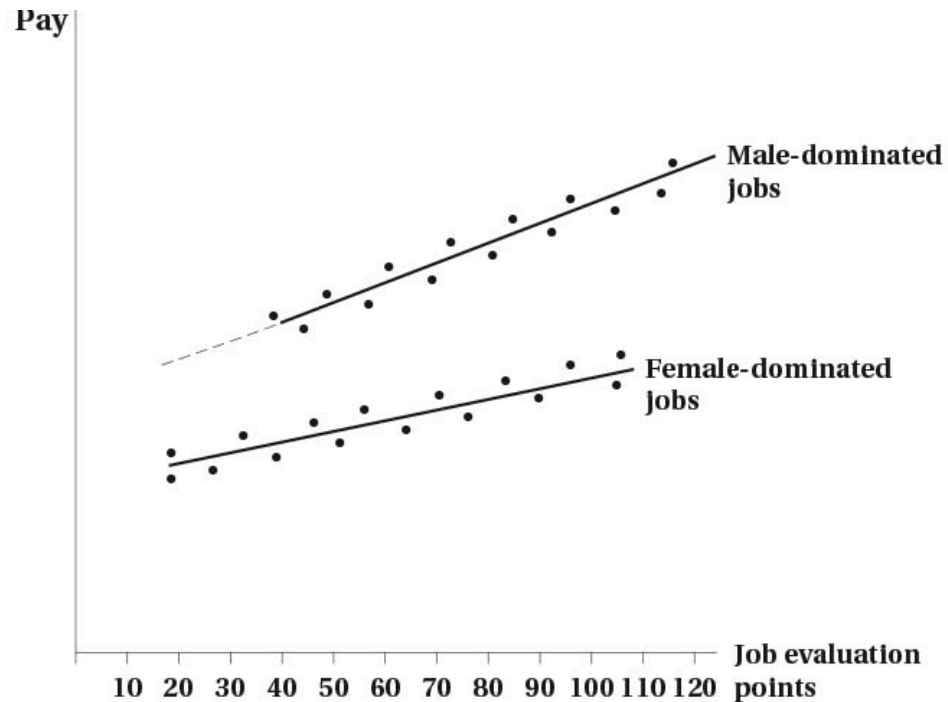
Equal pay for equal work: broadens the scope

- Assigns points to jobs based on skill, effort, responsibility, working conditions
- Jobs with similar points should receive similar pay
- Can apply to different occupations, but still in same firm/industry

Equal Pay

- Applies only to jobs that are predominantly male or female (>70%) — pay in female-dominated jobs adjusted to that of male-dominated jobs

Equal Pay



Equal pay for equal work example:

- Pay plotted against point scores
- In this example, male dominated jobs have generally higher pay
- Solutions could be:
 - Raise female line to male line
 - Raise female pay to male pay point-by-point for similar scores
 - Raise female points to male line at each point value

Equal Pay

Note

Equal pay for equal work is based on [administrative concept of value](#) (points for skill, effort, responsibility, working conditions) — **not** based on economic (market) value

- This is purposeful: market value reflects discrimination; administrative value tries to remove this

Equal Employment Opportunity

- Equal pay focused on equalizing wages
- **Equal employment opportunity** focuses on equalizing **access to jobs**
 - But by equalizing access, we also expect wages to equalize
- Key initiative is **affirmative action** (aka employment equity)

Equal Employment Opportunity

! Affirmative Action

Generally involves preferential treatment for minority groups

- Intended to overcome past and current discrimination
- Designed to be used temporarily to restore balance

In Canada:

- Applies only to federal workforce (~10% of jobs)
- Applies to four targeted groups: women, visible minorities, disabled persons, indigenous peoples
- Continues to be very controversial

Facilitating Policies

Finally, there are policies that can help facilitate women in the workforce:

- Parental leave
- Child care subsidies
- Flexible work arrangements

Canada has done well on the first two — expansion of child care subsidies recently is a good example

Facilitating Policies

- Some consider [expanding unionization](#) to be a facilitating policy
 - Unions bargain for greater pay and working conditions
 - Expanding this to cover more women would help
 - May also generate more power for women to argue for other types of legislation
- [Removing pay secrecy](#) can also help
 - If employees know what others are paid, they can better negotiate
 - Pay secrecy tends to hide discrimination
 - Some jurisdictions have passed laws banning pay secrecy

Preference and Attitudes

- We saw that discrimination in part is due to [preferences and attitudes](#)
 - Taste-based discrimination is one example
- Could use public policy to try to change these attitudes:
 - Public awareness campaigns
 - Education programs
- Not clear how well this works

Impact of Policies

Introduction

- We have outlined the different anti-discrimination policies
- How effective are these policies?
- Relatively straightforward to analyze statistically
 - Use Program Evaluation techniques
 - Data generally available

Pay Equity

Pay Equity Effectiveness

- Generally **ineffective** in closing the gender gap
- Some evidence of an impact in the UK
- In the U.S., pay equity is difficult to disentangle from other civil rights legislation — effects are inconclusive

Equal Pay for Equal Work

- Analyzed mostly in the public sector
- Recall the legislation is limited in scope
 - Male/female dominated jobs in same firm/industry
- Policy shown to close about one-third of the gender gap in the public sector
 - Limited evidence in the private sector

Affirmative Action

- Affirmative action is most prominent in the U.S.
- Several studies have examined its effect:
 - Evidence that it helped employment opportunities of Black men
 - Were the main targets of the legislation in earlier years
 - In later years, helped both Black men and women
 - Targets were expanded in later years

Facilitating Policies

Evidence on Facilitating Policies

- **Parental leave** policies help create job continuity
- **Subsidized child care** increases female labour force participation — good evidence from Quebec
- **Pay transparency** reduces the gender gap by about 30% in academia — using evidence from the “sunshine list” in Ontario
- **“Tenure clock stopping”** policies reduce tenure rates for women — unintended consequence: men can increase productivity
- **Banning criminal history questions** hurt employment of Black men — increased use of discrimination

Summary

Summary

- **Discrimination can arise from** tastes (Becker), statistical discrimination, supply-side factors, and non-competitive markets
- **Measuring discrimination is difficult** because productivity is not observed
 - Blinder-Oaxaca decomposition is a common method
- **Collider bias** is a potential issue when controlling for variables that are themselves outcomes of discrimination
- There are a number of initiatives to reduce discrimination
 - Mixed evidence on their effectiveness